

**EQUITY RESEARCH CHALLENGE
2025-2026
IIT GUWAHATI**

Wall Street Club Investment Fund
BITS Pilani Hyderabad Campus



- Our approach focuses on **identifying the true economic worth of businesses** and investing only when the market price trades meaningfully below intrinsic value

Investment Thesis

Research Driven Framework

We follow a bottom-up, research-driven framework focused on identifying quality businesses through fundamental analysis. Our evaluation considers upcoming projects and earnings visibility, competitive positioning and industry structure, as well as macro-economic, regulatory and political developments that may affect long-term performance.

Valuation Methodology

Our valuation methodology is tailored to the company's profile. For stable, predictable firms we use Discounted Cash Flow (DCF), while in cases where forecasts are less reliable we rely on Comparable Company Analysis using peer multiples. Factors such as company size, business maturity and data availability ultimately guide the choice of approach.

Technical Analysis

Technicals are used to support execution and risk control by helping optimize entry timing, while stop-loss levels are defined using technical indicators to actively manage downside risk.

Risk Adjusted Performance

We continuously monitor risk-adjusted performance with a focus on achieving attractive risk-reward setups at the point of entry, while also targeting sustained improvement in the portfolio's Sharpe Ratio over time. Our philosophy places strong emphasis on maintaining a margin of safety and adhering to disciplined risk management, enabling us to capture long-term value mispricing while prioritizing capital preservation.

WSC IF is a long-only, benchmark-aware multi-cap equity fund

Risk Controls & Constraints



10-Stock
Portfolio



Max 15%
per Stock



Max 35%
per Sector



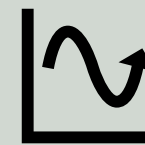
Portfolio Risk Profile

- **Risk Tolerance:** Moderate — prioritizes capital preservation with a strong margin of safety
- **Tracking Error Target:** ~4–8% relative to benchmark
- **Performance Philosophy:** Willing to tolerate short-term underperformance during growth-led market rallies in exchange for long-term risk-adjusted returns



Cyclicality & Hedging Approach

- Sector cyclicality is managed through:
- **Diversification** across market-caps and industries
- **Position-sizing discipline** to limit concentration risk
- **Stop-loss frameworks** guided by technical indicators
- **Ongoing monitoring** of macro-economic and policy developments



Risk-Adjusted Return Focus

- **Focus on attractive risk-reward at entry**, ensuring sufficient margin of safety
- **Ongoing objective to enhance the portfolio's Sharpe Ratio** through disciplined risk management
- **Primary Benchmark:** Nifty 500 TRI



COMPETITIVE MOAT

- **R&D Advantage:** Strong innovation and partnerships sustain leadership in advanced biofuels and SAF.
- **GenX Capacity Leverage:** World-class manufacturing is being redeployed to energy and oil & gas to improve utilization.
- **Technology + EPC Leadership:** Proprietary tech and turnkey execution make Praj the ethanol plant market leader with high switching costs.

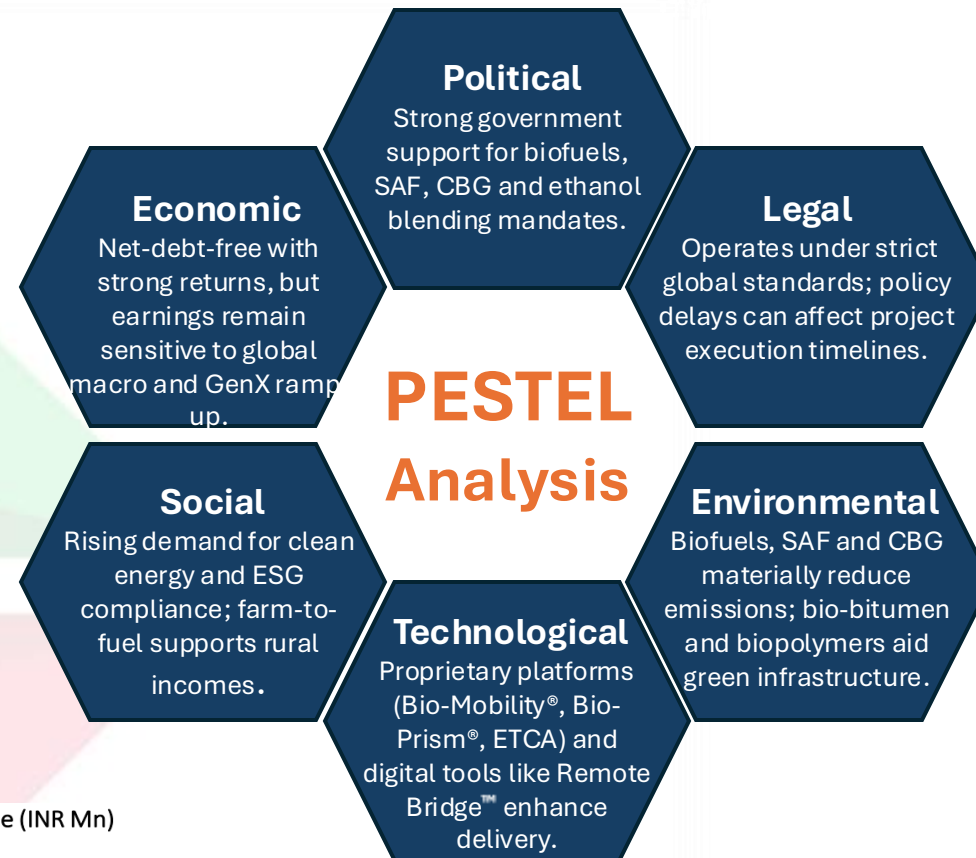
Financial Forensic

- Volume-driven growth (~55% share) backed by a cash-and-carry dealer network offsets steel pricing volatility.
- Strong multi-year cash-flow conversion, with working capital moving in line with EPC project billing cycles
- Trading at 56.7 PE against an industry range of mid-30s–50s, Praj Industries offers limited safety despite strong fundamentals

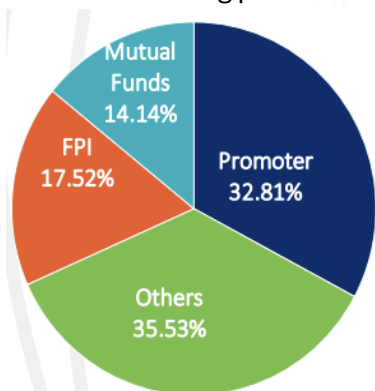
ESG and Governance Audit

- Strong ESG alignment via biofuels, low carbon and transition energy technologies
- In the past the company has maintained a fairly conservative balance sheet
- ROIC was ~10–11% in FY24 and ~7–8% in FY25, below Praj's ~12–13% WACC, reflecting returns currently under the hurdle rate. The main drag is under-utilisation at Praj GenX — with capacity already built, improving utilisation should lift ROIC toward (or above) WACC without major new capex.

PESTEL Analysis



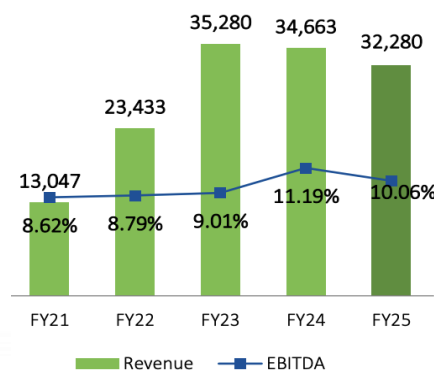
Shareholding pattern



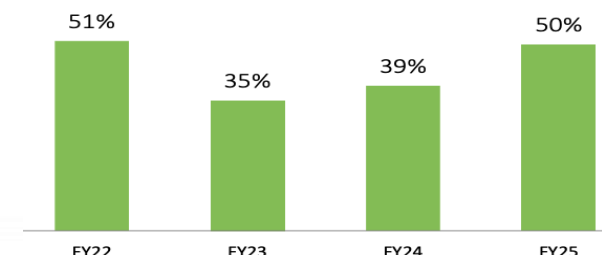
DuPont Analysis

	FY 2025
Net Income	219
Revenue	3,228
Profit Margin	0.07
Revenue	3,228
Average Assets	3056
Assets Turnover	1.06
Average Assets	3,056
Average Equity	1,311
Equity Multiplier	2.33
ROE	17%

Operational Revenue (INR Mn)



Dividend Pay out ratio (%)



COMPETITIVE MOAT

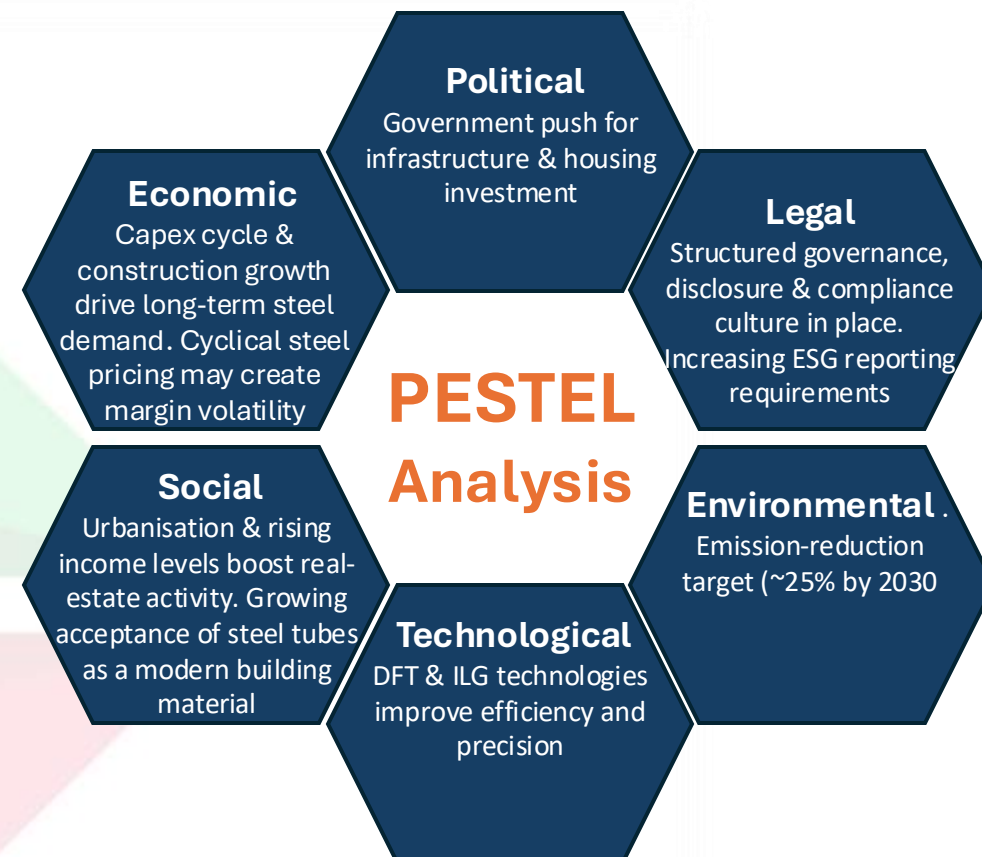
- **Distribution Scale:** 800+ distributors, 50,000+ retailers, and 200,000+ fabricators with 48-hr delivery drive ~8× capital turnover and high switching costs.
- **Cost Leadership:** ~55% market share, 4.5 Mn-ton capacity (11 plants), and ~10% of India's HR-coil procurement ensure structural low costs.
- **DFT/ILG tech and first-to-market apps** (solar/roofing) create quasi-monopolies, supported by a near-zero working capital model

Financial Forensic

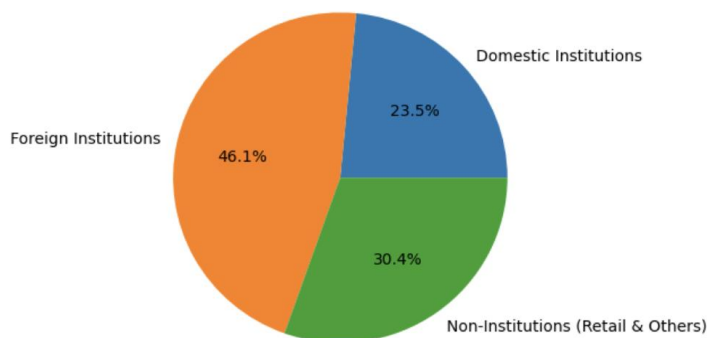
- ~55% market share and volume-driven growth offset steel cycles; cash-and-carry limits risk.
- A near-zero working-capital cycle converts 70–100% of EBITDA to OCF, sustaining a net-cash balance sheet.
- APL Apollo Tubes is expensive at ~51 PE (sector: 30s–40s) and hovering near 52-week highs, limiting near-term upside.

ESG and Governance Audit

- Net Debt/Equity of $-0.07\times$ (FY25) funds expansion to 6.8 Mt (FY28) largely via internal accruals (~0 WC days)
- ROCE remains robust at ~24–25%, confirming capex is value-accretive; targeting ~25% emission reduction by 2030.
- **Sustainability:** Energy-efficient DFT/ILG processes and structural tubes replacing RCC/wood reduce embodied carbon and power use.



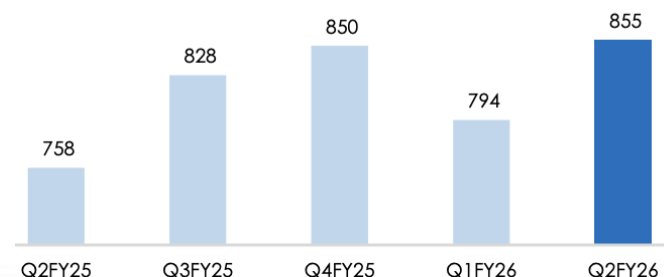
Shareholding pattern



DuPont Analysis

	FY 2025
Net Income	757
Revenue	20,690
Profit Margin	0.04
Revenue	20,690
Average Assets	7456
Assets Turnover	2.77
Average Assets	7,456
Average Equity	3,867
Equity Multiplier	1.93
ROE	20%

Volume (K Ton)



COMPETITIVE MOAT

- OIL holds 60+ years of geoscientific data on the Assam-Arakan basin and acquired 2,602 LKM of seismic data in Ganga-Punjab to enhance exploration.
- They are developing "PRISM," a high-performance computing centre to accelerate seismic processing and reduce global imaging costs.
- Drilling rigs now utilize a Dynamic Gas Blending system to mix diesel with natural gas, lowering fuel costs and emissions.

Financial Forensic

- Crude oil drives 71% of revenue; Russian assets yielded \$942 million in dividends, though \$330 million remains restricted by sanctions.
- With 15.47% ROE and 44.34% EBITDA margin, returns are margin-driven with a low 0.27 Debt-Equity ratio.
- Oil India is fairly priced at PE of 11.7, while the industry PE is 18.9. Even though it is not at ATH, it has strong upward potential.

ESG and Governance Audit

- "Maharatna" status enables board approval of 5000cr INR capex, aiding a strategic pivot toward Critical Minerals.
- Project "Santulan" operationalizes 26 decarbonization initiatives, supporting a commitment to Net-Zero by 2040.
- ROCE of 14.61% surpasses the 6-8% WACC, ensuring returns well above the hurdle rate with a AAA credit rating.

Political

Government price regulation and North-East blockades cause operational volatility

Legal

Engaged in Supreme Court litigation over a ₹3,888cr royalty tax dispute.

PESTEL Analysis

Economic

NRL integration guarantees a buyer, despite a ₹3,888cr royalty dispute risk.

Social

Persistent North-East ethnic blockades frequently disrupt production.

Technological

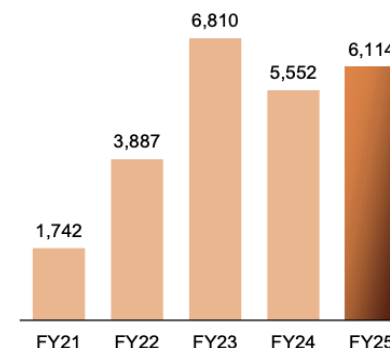
Proprietary 1,157 km pipeline creates a high entry barrier and logistical superiority.

Environmental

Targeting Net-Zero by 2040 via Project "Santulan" and emission-reducing Dynamic Gas Blending.

Profit after Tax (PAT)

in INR Cr

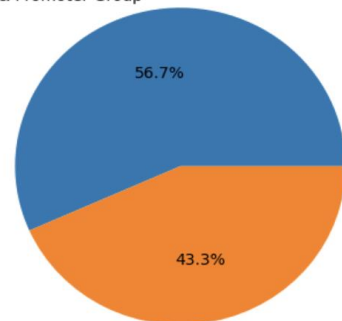


DuPont Analysis

	FY 2026
Net Income	7,040
Revenue	31,703
Profit Margin	0.22
Revenue	31,703
Average Assets	98658.5
Assets Turnover	0.32
Average Assets	98,659
Average Equity	48,654
Equity Multiplier	2.03
ROE	14%

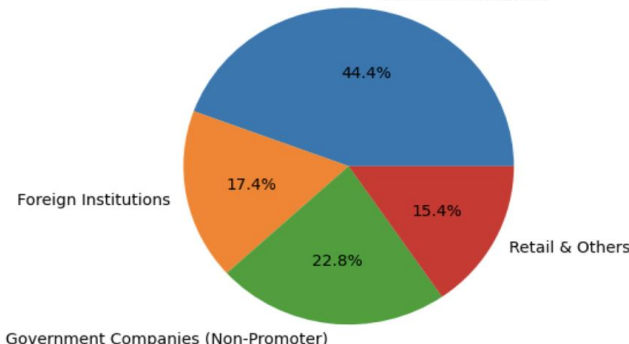
Overall Shareholding Pattern

Promoter & Promoter Group



Break-up of Public Shareholding (within 43.34%)

Domestic Institutions



INDIAN RAILWAY CATERING & TOURISM CORPORATION Ltd



COMPETITIVE MOAT

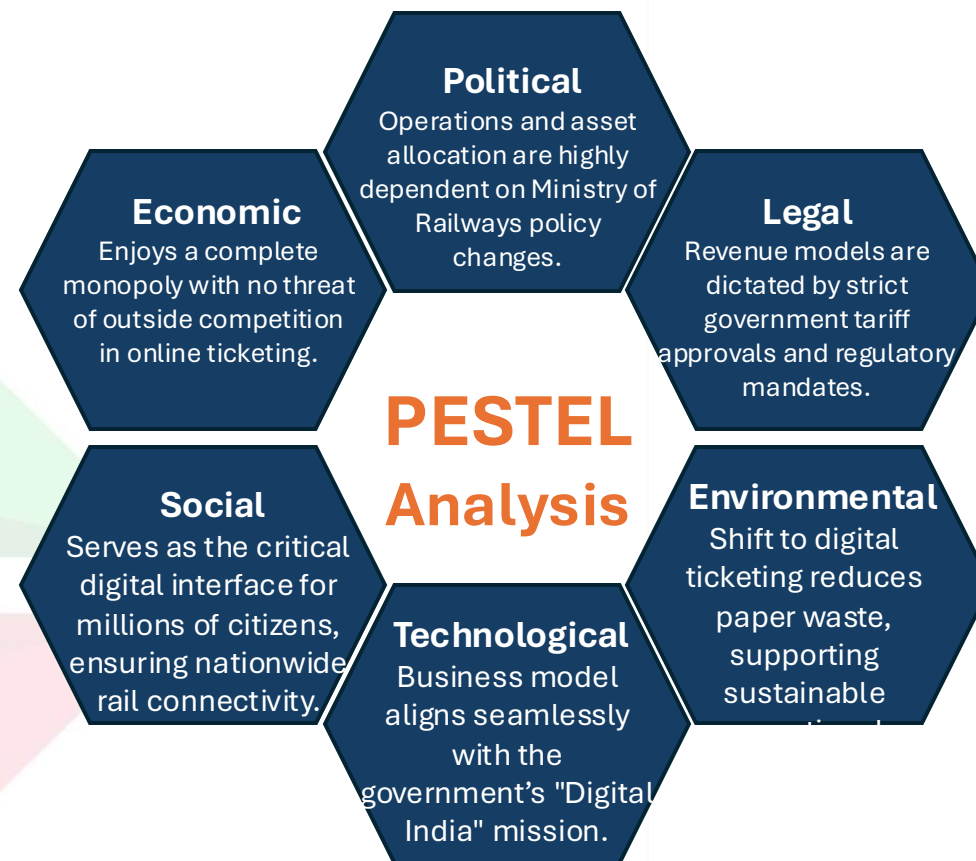
- As the sole online ticketer for Indian Railways, IRCTC booked 6,065.28 lakh tickets (86.38% share) in FY 24-25.
- The "Rail Neer" water brand operates exclusively across the network, contributing 8.10% to total revenue.
- Integrated air, bus, and hotel services allow customers to book entire itineraries under a single PNR number.

Financial Forensic

- Catering contributes 45.46% of revenue, while Internet Ticketing delivers the highest EBITDA margin of 82.70% on 4,675cr revenue.
- Legal liabilities include a 50.41cr GST notice for Rail Neer and a 74.71cr arbitration award regarding licensing.

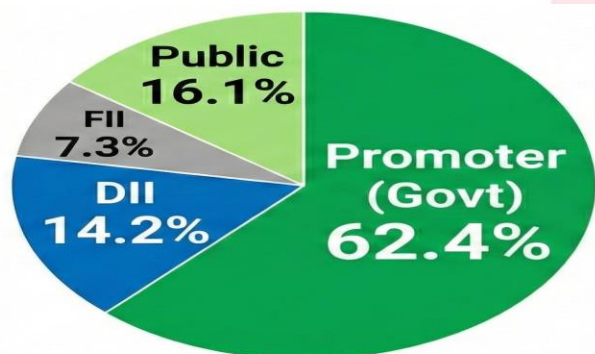
ESG and Governance Audit

- Commitment to paperless travel and EPR-compliant Rail Neer plants results in recycling 8,061 Mt of plastic waste annually.
- "Navratna" status authorizes the board to invest up to 1,000cr autonomously, supporting ventures like IRCTC Payments LTD.
- With zero long-term debt, the 48% ROCE far exceeds WACC, funding growth purely through internal capital allocation.



DuPont Analysis

	FY 2025
Net Income	1,315
Revenue	4,675
Profit Margin	0.28
Revenue	4,675
Average Assets	6432
Assets Turnover	0.73
Average Assets	6,432
Average Equity	3,332
Equity Multiplier	1.93
ROE	39%



Dividend paid to paid-up capital

26.98%

CAGR



COMPETITIVE MOAT

- Customized portals integrated into ministerial administrative flows create high entry barriers, preventing competitors from entering the segment.
- MSTC holds a near-monopoly in government e-auctions, serving over 2,24,000 clients with exclusive mandates from the Ministries of Coal, Steel, and Mines.
- Awarded EPR certificate trading, marking its strategic entry into government-initiated Circular Economy goals.

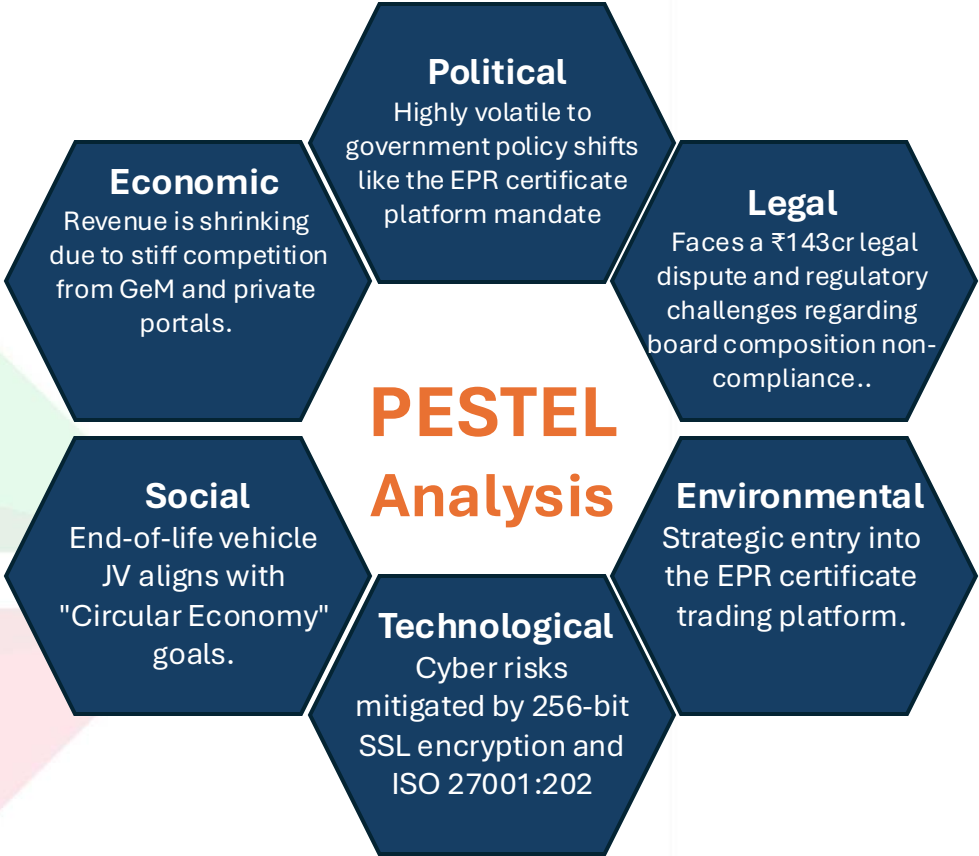
Financial Forensic

- FY24-25 net profit surged to 402.98cr from 171.91cr, primarily due to the Ferro Scrap Nigam Limited divestment.
- Net revenue fell drastically: 1,41,587cr (FY24) to 89,824cr (FY25).
- MSTC Ltd is undervalued at a PE of 9.0, well below the trading industry median of 40. Even at its ATH near ₹550, it retains massive upward potential.

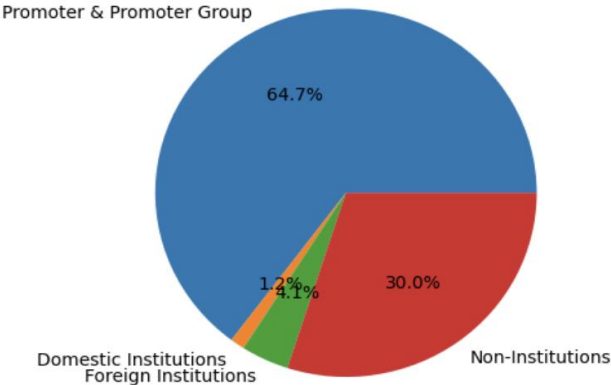
ESG and Governance Audit

- Primary ESG activity is the joint venture with Mahindra on end-of-life vehicles, aligning with "Circular Economy" goals.
- Declared a 405% dividend for FY25, funded largely by cash from the FSNL sale.
- Debt-free status ensures low WACC; targeting 15% ROIC, excess capital is returned to shareholders due to low capex needs.

PESTEL Analysis



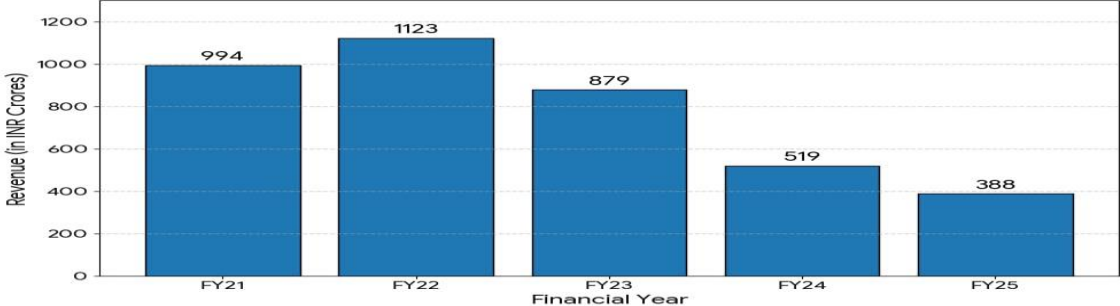
Shareholding pattern



DuPont Analysis

	FY 2026
Net Income	407
Revenue	311
Profit Margin	1.31
Revenue	311
Average Assets	1970
Assets Turnover	0.16
Average Assets	1,970
Average Equity	700
Equity Multiplier	2.81
ROE	58%

MSTC Limited Total Revenue (FY21 - FY25)



COMPETITIVE MOAT

- Dominates complex generics (e.g., Spiriva inhalers) with 1,000+ patents globally, creating high tech barriers and pricing power.
- Operates multiple US-FDA approved plants and ranks 4th in India's recession-proof chronic therapies (heart/diabetes) segment.
- Global presence in 100+ countries with a robust supply chain delivers cost advantages and steady cash flows to fund US growth.

Financial Forensics.

- Revenue flows 34% from India and 30% from the US; EBITDA margins surged to ~20%+ via high-value launches like gSpiriva and gTolvaptan.
- Cash flow conversion dipped as capex doubled to 16.8 bn for heavy investments, with sales growing faster than collections.
- Lupin Ltd is fairly priced at a PE of 22.1, below the pharma industry median of 27.4. Even though at ATH levels near ₹2100-2400, it has massive upward potential.

ESG and Governance Audit

- ROIC is ~21.9% against a WACC of ~11.5%, generating a ~10.4% surplus on every rupee invested to fund expensive R&D.
- Management stopped burning cash on random R&D, strictly pivoting focus to profit-producing products.
- Clean governance record with zero promoter pledging, 47% promoter holding, and no recent controversies linked to promoters.

Political
US expansion faces headwinds from high tariffs and pricing pressure on generics.

Legal
High regulatory risks and 2025-26 patent expirations pose potential revenue threats.

Environmental
Manufacturing plants adhere to strict US-FDA standards, ensuring global safety compliance.

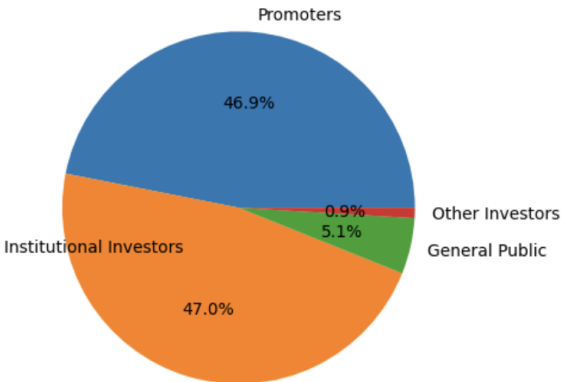
Technological
Pivot to complex biologics like gSpiriva with 1,000+ patents creates high entry barriers.

Economic
\$250M Coral Springs investment and ~20%+ EBITDA margins secure profitability and local supply chains

Social
Ranks 4th in India's chronic therapy segment, capturing the recession-proof respiratory market.

PESTEL Analysis

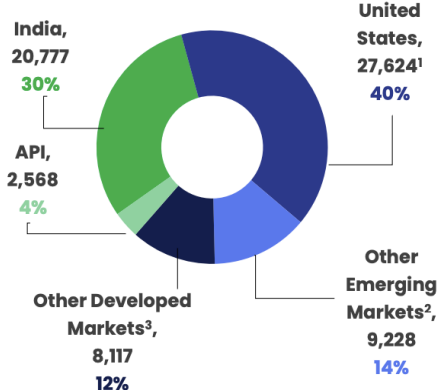
Shareholding Pattern



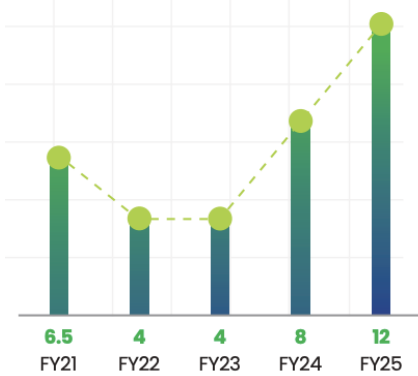
DuPont Analysis

	FY 2025
Net Income	3306
Revenue	22,708
Profit Margin	0.15
Revenue	22,708
Average Assets	26365
Assets Turnover	0.86
Average Assets	26,365
Average Equity	17,112
Equity Multiplier	1.54
ROE	19%

Revenue (In INR mn and %)



DIVIDEND PER SHARE



COMPETITIVE MOAT

- **"Fevicol"** brand monopoly commands **~70% market share**, driving constant repeat orders via immense consumer trust.
- Contractor reliance allows pricing power, yielding **~55% Gross Margins** (vs 40% industry avg) driven by distribution scale.
- Dedicated sales teams drive specialized products for every distinct consumer need based on direct feedback.

Financial Forensic

- Recession-proof **"Consumer & Bazaar"** segment contributes **80%** of revenue; strong market power allows faster collections than supplier payments
- Lean cash cycle is achieved by maintaining **43 days** inventory against a strong **77-day** payable period.
- Pidilite Industries is richly valued at PE of 68, above the chemicals industry median of 56.9. Even though at ATH, it has strong upward potential from adhesives dominance.

ESG and Governance Audit

- **ROIC of ~29.7%** exceeds **13.5% WACC**, generating a **~16.5% surplus** on every rupee to fund green projects.
- Clean governance record features **zero promoter pledging** and a **>50% independent board** with no controversies.
- Waterproofing tech (SRI) reduces energy loads, capturing demand from stricter **2025 building regulations**.
- **Aug 2025** board meeting considered the first bonus share issue in **15 years** plus a special **FY26 dividend**.

Political

Imported VAM dependence exposes margins to global trade and geopolitical risks

Legal

Stricter building regulations in 2025 create an automatic demand driver for construction chemicals and waterproofing.

PESTEL Analysis

Economic

Margins face risks from crude/VAM spikes and real estate slowdowns, though the core business is 80% recession-proof.

Social

Deep carpenter trust and a ~70% market share make it difficult for deep-pocketed entrants (Asian Paints, Grasim) to divert customers.

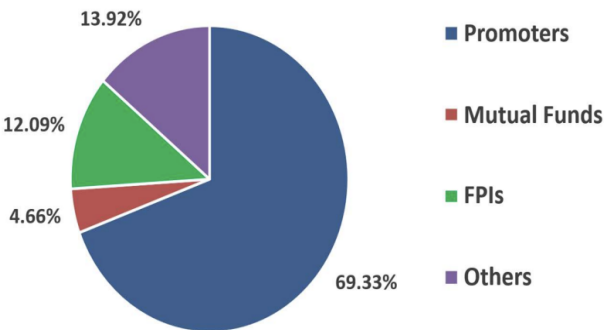
Technological

Building momentum in high-tech adhesives for data centers, EVs, and major EMS firms to diversify growth

Environmental

SRI tech reduces client energy loads; surplus cash funds aggressive green projects.

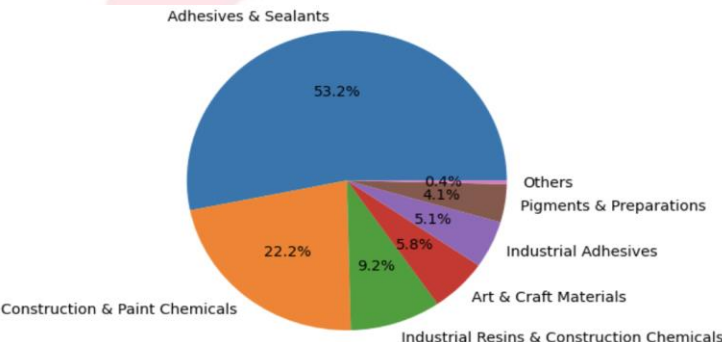
Shareholding pattern



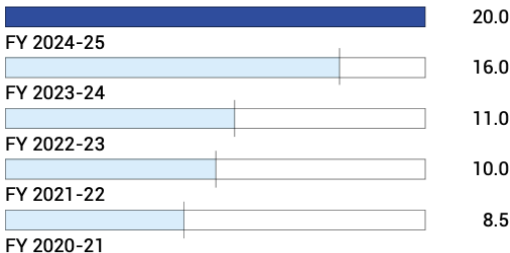
DuPont Analysis

	FY 2025
Net Income	2,096
Revenue	13,140
Profit Margin	0.16
Revenue	13,140
Average Assets	13076
Assets Turnover	1.00
Average Assets	13,076
Average Equity	9,132
Equity Multiplier	1.43
ROE	23%

Revenue Distribution



Dividend Per Share (₹)



WAAREE RENEWABLE TECHNOLOGIES Ltd.

COMPETITIVE MOAT

- India's largest module manufacturer with **13 GW capacity**, targeting **21 GW by 2027**; massive scale lowers raw material costs.
- Operationalized **5.4 GW cell capacity** reduces import reliance, capturing higher margins
- US expansion via a **1.6 GW Texas facility** (expanding to **3.2 GW**) insulates profitable sales from protectionist trade barriers.
- Massive order book of **~₹47,000 Cr (25 GW+)** ensures revenue visibility for **18-24 months**.

Financial Forensic

- Revenue hit **₹14,846 Cr (FY25)**, up **27.6%**, with a mix of **~53% Domestic** and **~47% Export** boosting margins.
- Waaree Energies trades at a PE of 30.5, below the renewables industry average of 70. Even at ATH near ₹2866-3000, it has massive upward potential.
- Cash Flow from Operations improved to **₹3,158 Cr** (from **2300 Cr**), confirming reported profits are converting to actual cash.

ESG and Governance Audit.

- High promoter holding of **64.22%** with **zero pledging** indicates strong "skin in the game".
- ROIC of **~16.8%** beats **12.3% WACC**, creating a **4.5% surplus** spread to fund aggressive capex without dilution.
- Currently underutilizes opportunities in energy storage and green hydrogen ecosystems despite related capex.

Political

Beneficiary of **PLI and ALMM** protectionism, though a **US CBP investigation** into tariff evasion risks export stability.

Legal

An adverse ruling on the alleged evasion of Chinese tariffs could severely impact high-margin US exports.

PESTEL Analysis

Economic

- **14% share** and vertical integration drive pricing, despite silicon import risks.

Social

Promoter Hitesh Doshi named in **2017 Paradise Papers** raises governance concerns.

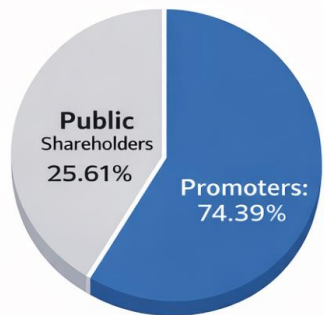
Technological

Rapid shift to **TOPCon/HJT** requires high capex to avoid obsolescence.

Environmental

21 GW target by 2027 supports global decarbonization, despite underutilized green hydrogen

Shareholding pattern

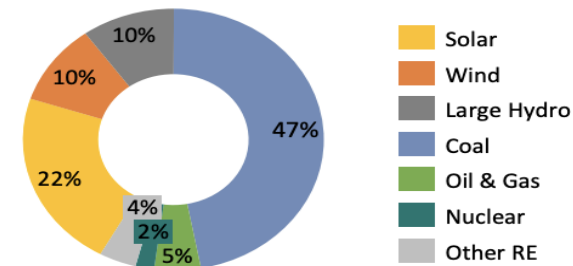


■ Promoters: — 74.39%
■ Public Shareholders: 25.61%

DuPont Analysis

	FY 2025
Net Income	229
Revenue	1,598
Profit Margin	0.14
Revenue	1,598
Average Assets	914
Assets Turnover	1.75
Average Assets	914
Average Equity	542
Equity Multiplier	1.69
ROE	42%

Break Up of Total Installed Capacity



COMPETITIVE MOAT

- **"Low-cost producer"** moat secured by high-quality iron ore with no viable substitutes in primary steel **production**
- As a PSU, enjoys **mandatory lease renewals** without the crushing revenue premiums private miners pay, ensuring near-permanent, low-cost access.
- Constructing a **15 MTPA slurry pipeline** (Bailadila to Vishakhapatnam) to solidify cost advantages by reducing expensive rail freight dependence.

Financial Forensic

- Faces a massive contingent liability of nearly **21,190cr** related to royalty and tax claims.
- Maintained a robust liquidity position with nearly **10,030cr** in cash and short-term investments during FY 24-25.
- NMDC is fairly priced at PE of 10.6, while the mining industry median is 12.1. Even though it is at ATH, it has a massive upward potential.

ESG and Governance Audit

- **ROIC of 21%** against **10.7% WACC** creates a massive spread, allowing internal funding of heavy annual capex needs.
- Aligning operations with India's **Net Zero 2030** goal while following rigorous SEBI/DPE guidelines as a CPSE.
- Launched **"DARPAN"** portal for transparency and partnered with **Colorado School of Mines** for AI-integrated sustainable mining.

Political

Aligns with "Make in India" and government steel targets, enjoying mandatory lease renewals as a PSU.

Legal

Follows rigorous SEBI/DPE guidelines while battling significant royalty and tax claim disputes.

PESTEL
Analysis

Economic

Debt-free low-cost producer with **45-50 MTPA** capacity, despite a **₹21,190cr** contingent liability risk.

Social

Ensures transparency via the **"DARPAN"** portal and stability through long-term contracts with top 4 steelmakers.

Technological

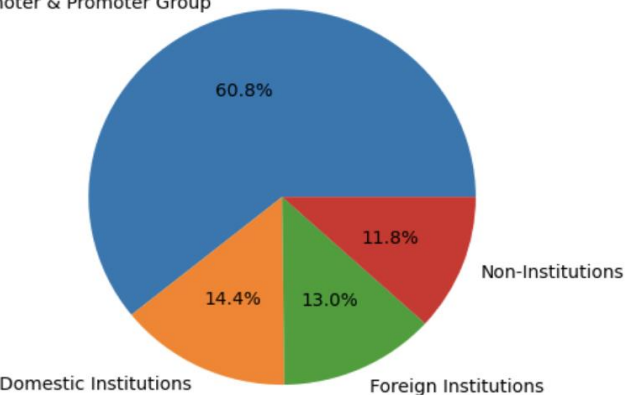
Constructing a **15 MTPA slurry pipeline** and adopting AI-integrated mining with Colorado School of Mines.

Environmental

Aligning mining operations with India's **Net Zero 2030** goal for sustainability.

Shareholding pattern

Promoter & Promoter Group



DuPont Analysis

	NMDC
	FY 2025
Net Income	6,520
Revenue	23,906
Profit Margin	0.27
Revenue	23,906
Average Assets	38,334
Assets Turnover	0.62
Average Assets	38,334
Average Equity	29,695.80
Equity Multiplier	1.29
ROE	22%

Revenue from Operations

(₹ Crore)





DEEPAK FERTILISERS & PETROCHEMICALS CORP Ltd

COMPETITIVE MOAT

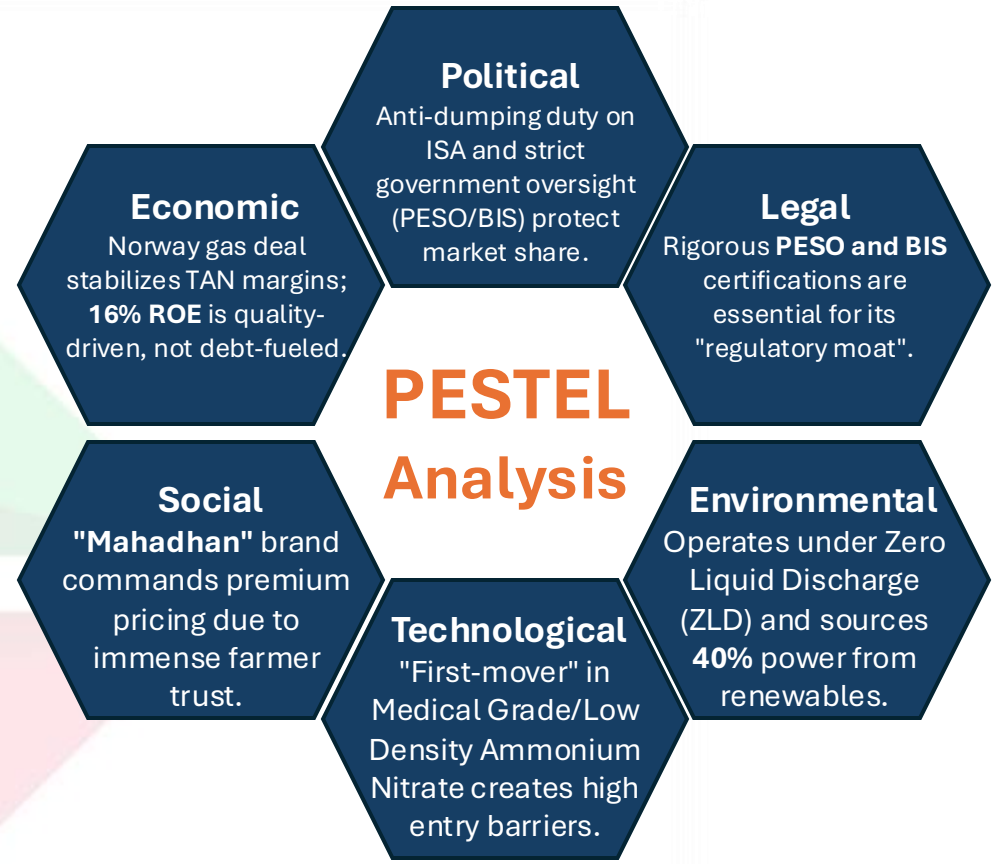
- Holds absolute monopoly or "first-mover" status in high-value Indian segments like **NP Prill 24:24:0**, Medical Grade, and Low Density Ammonium Nitrate.
- Strict government oversight in chemical/explosives sectors creates high entry barriers; "**Mahadhan**" brand commands premium pricing due to immense farmer trust.

Financial Forensic

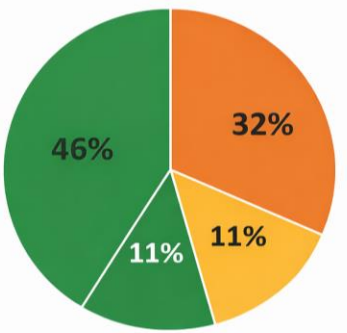
- **FY 24-25** consolidated PAT nearly doubled to **945cr**, with high-margin products now contributing **22%** (up from **17%**) of the mix.
- Efficient cash conversion cycle allowed net debt to decrease by **~100cr** despite a large **655cr** capex outlay
- Deepak Fertilisers is undervalued at PE of 16.1, below fertiliser industry peers at 44.5. Even at recent highs, it shows massive upward potential from strong earnings.

ESG and Governance Audit

- **ROIC of 13-14%** exceeds **11-12% WACC**, creating a positive spread to fund high-margin projects like **Gopalpur TAN** and **Dahej Nitric Acid**.
- Meets **40%** of power needs via renewables (Wind/Solar) and operates under **Zero Liquid Discharge (ZLD)** protocols.
- Maintains rigorous **PESO** and **BIS** certifications, which are essential for its "regulatory moat" in the explosives and chemical sectors.



Shareholding pattern



■ Promoters ■ DII's ■ FII's ■ Pub/Others

DuPont Analysis

	FY 2026
Net Income	945
Revenue	10,274
Profit Margin	0.09
Revenue	10,274
Average Assets	6,292
Assets Turnover	1.63
Average Assets	6,292
Average Equity	6,226
Equity Multiplier	1.01
ROE	15%

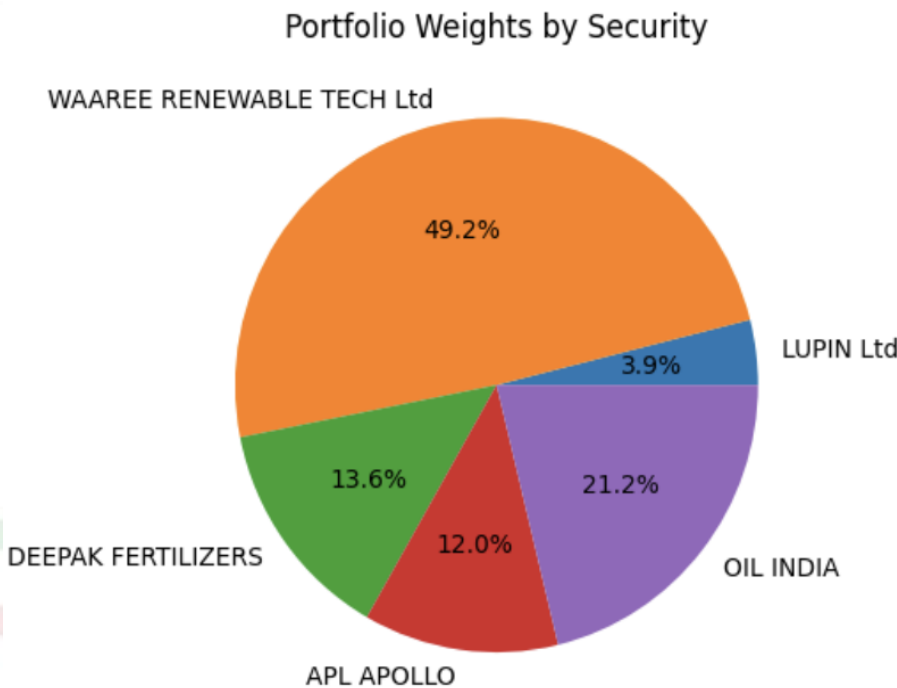
Dividend (₹ / share)



Investment Fund Portfolio



- Lupin
- Waaree Renewable Tech
- Deepak Fertilizers
- APL Apollo Tubes
- Oil India



SHARPE	2.544690948281241
E(R) (Expected Return)	0.9221180026157118
SIGMA (portfolio volatility)	0.3363936996726032
RISK FREE RATE	6.61% (India 10-Year Government Bond Yield)

Portfolio weights are determined by maximising the portfolio’s risk-adjusted return, measured by the Sharpe Ratio. Rather than evaluating securities in isolation, the optimisation jointly considers expected returns, individual volatilities, and cross-asset correlations. Assets with higher expected excess returns, lower volatility, and stronger diversification benefits receive higher weights, while highly volatile or strongly correlated assets receive lower allocations due to limited marginal contribution to portfolio efficiency.

The resulting allocation corresponds to the Tangency Portfolio, which lies at the intersection of the Capital Market Line and the efficient frontier. This portfolio delivers the maximum attainable excess return per unit of total risk. When combined with the risk-free asset, it defines the Capital Market Line and forms the optimal risk–return trade-off under Modern Portfolio Theory.

Lupin Technical Entry



Waaree Renewable Technical Entry



Deepak Fertilizers Technical Entry



DEEPAK FERTILISERS
AND PETROCHEMICALS
CORPORATION LIMITED



APL Apollo Technical Entry



Oil India Technical Entry

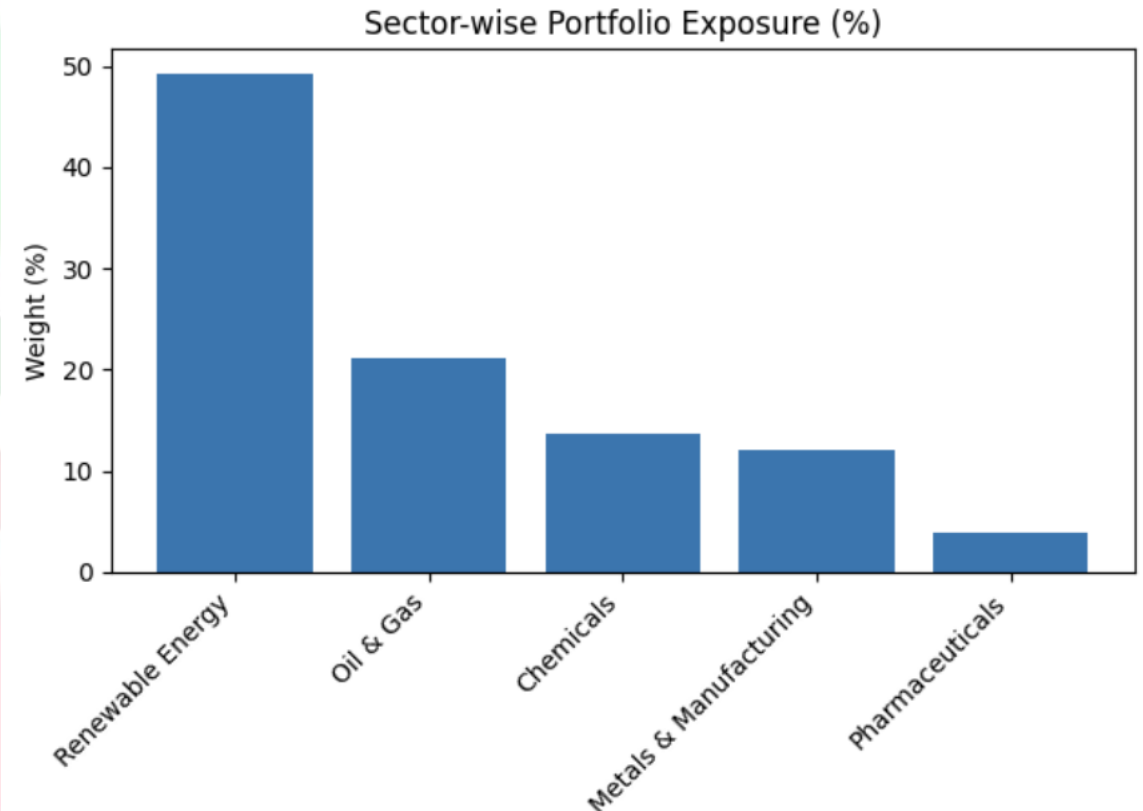


Sector-Wise Exposure

A multi-sector portfolio mitigates unsystematic (sector-specific) risk by spreading exposure across industries with different economic drivers and low correlations.

- **Limits single-sector impact:** A downturn in one sector (e.g., Oil & Gas) only affects its allocated portion.
- **Balances cyclical & defensive exposures:** Cyclical sectors (Oil & Gas, Metals) are offset by more resilient ones (Pharmaceuticals, Renewable Energy), smoothing returns through economic cycles.
- **Exploits low correlation:** Sector performance drivers are distinct (e.g., drug pipelines vs. commodity prices), so they don't move in sync, reducing overall volatility.

With the help of multi sector approach a shock that could sink a concentrated portfolio is contained. For example, a 30% crash in a sector weighted at 20% only creates a ~6% portfolio loss, with other sectors cushioning the blow. This diversification eliminates uncompensated, idiosyncratic risk, leaving only systematic market risk.



DCF AND CCA ANALYSIS OF SELECTED COMAPNIES

THE FOLLOWING GOOGLE DRIVE LINK CONTAINS EXCEL FILE OF DCF AND CCA OF

1) PIDLITE

2) LUPIN

https://drive.google.com/drive/folders/15Tg0V1_wiuQa9nLqwKkg4f2UxShiaDw2?usp=sharing

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